

**PRESCOTT VANE LLP —MEMORANDUM
PRIVILEGED AND CONFIDENTIAL —ATTORNEY WORK PRODUCT**

To: Arthur Pellum

From: Caleb Wisner

Date: May 17, 2011

Re: Torvane Industrial Group / Matter 2011-0284 —Potential warranty claim against Brandt Thermal Systems, Inc. —merits outline and limitations analysis

1. Background

Brandt Thermal Systems, Inc. supplied the Unit 2 regenerative thermal oxidizer ("RTO") under Torvane Purchase Order 8-4471 dated March 6, 2008 (equipment, installation supervision, and commissioning services; contract price \$6,180,000). The unit was delivered to the Kelling Station site in the first quarter of 2010 and first fired in September 2010, with initial performance testing in October 2010.

2. The performance shortfall

The purchase order guarantees (Exhibit C, "Performance Guarantees"):

Guarantee	Contract value	Measured (Oct 2010 –Apr 2011)
VOC destruction efficiency	≥ 98.5%	95.8% –96.4% (Nov 2010 stack test)
Natural gas consumption at design load	≤ 14.2 MMBtu/hr	28.7 –31.2 MMBtu/hr
Thermal (heat-recovery) effectiveness	≥ 95%	approx. 82%

Brandt's own service report of November 22, 2010 attributes the excess fuel consumption to "lower than projected heat-recovery bed effectiveness" and concedes that the unit "is not presently achieving the Exhibit C fuel guarantee." Torvane engineering estimates incurred excess fuel cost at approximately \$580,000 through April 2011, with a ten-year projection well in excess of \$7,000,000 absent correction. Media degradation may also force a full bed replacement within 24 months.

3. Limitations analysis

3.1 The purchase order is a mixed goods-and-services contract. If goods predominate —the likely holding, given the price allocation —Article 2 applies and **13 Pa. C.S. § 2725** gives four years from tender of delivery, with breach of warranty occurring at tender regardless of the buyer's knowledge. Tender occurred in the first quarter of 2010. On this reading the claim expires in the **first quarter of 2014**.

3.2 If services predominate, the general four-year contract period of **42 Pa. C.S. § 5525** applies, running from breach. A court could fix breach at initial performance testing (October 2010), expiring **late 2014**.

3.3 Exhibit C's warranty extends to future performance ("the equipment will achieve the guaranteed values during the first twelve months of commercial operation"), which may defer accrual under § 2725(b) to discovery—but discovery here was no later than the November 2010 stack test, so the extension buys little.

3.4 **Conclusion:** the safe outer boundary is well before the end of 2014, and prudence says treat the claim as expiring in the first quarter of 2014. The later-accrual arguments exist but should not be relied on.

4. Recommendation

The claim is substantial and independent of the Ridgeline arbitration. We should put it to the client in writing now with three options: (a) assert it; (b) preserve it by tolling agreement with Brandt; or (c) decline to pursue it. Whatever the client decides, the decision and the advice behind it should be in the file in writing.

C.W.